The Bill to constitute a State Bank of India, to transfer to it the undertaking of the Imperial Bank, and to provide for other matters connected therewith or incidental thereto, was moved in the Lok Sabha on April 22, 1955, by A. C. Guha, Minister of Revenue and Defence Expenditure (in place of Deshmukh who was indisposed). The bill was almost unanimously welcomed by the House, though members like Asoka Mehta demanded the nationalization of all insurance companies and banks.[23]

The State Bank of India came into being on July 1, 1955, in terms of the State Bank of India Act, 1955 and all the assets and liabilities of the Imperial Bank were transferred to the State Bank of India in terms of this Act. It was, however, decided to provide for the continued existence of the Imperial Bank as a corporate entity to enable it to make over its assets and liabilities at its foreign branches to the State Bank. The State Bank of India Act, 1955, provided for an authorized capital of ₹20 crores and an issued capital of ₹5.625 crores divided into 5.625 lakh shares of ₹100 each fully paid-up. The shares of the State Bank of India were to stand allotted to the RBI on July 1, 1955, in lieu of the share of the Imperial Bank transferred to it. The RBI was to hold at least 55 percent of the issued share capital and could transfer the balance of 45 percent of the State Bank shares to private shareholders, preference being given to shareholders of the Imperial Bank.[24]

The Central Board of the bank was to consist of a Chairman and a Vice Chairman to be appointed by the Central Government in consultation with the RBI and after consideration, except in the case of first appointments, of the recommendations made by the Central Board in that behalf. There were to be not more than two Managing Directors appointed by the Central Board with the approval of the Central Government. Six Directors were to be elected in the prescribed manner by the shareholders whose names were entered in the various branch registers. The central government would nominate eight Directors in consultation with the RBI. One Director was to be nominated directly by the central government and one Director by the RBI.

Former Finance Minister, Dr John Matthai, was appointed the first Chairman of the State Bank of India notwithstanding the fact that he had resigned from the Cabinet in 1950, following sharp differences with Pandit Nehru on several issues including the constitution of the Planning Commission. Gorwala was in the reckoning for the post of Vice Chairman